that you will feel invigorated! Ed and Sue did. They tackled each credit card and were rewarded for their efforts with reduced rates, removed fees, and raised credit limits. It took a couple hours on the telephone, and it was worth every minute. The increase in dollars saved was equal to the increase in their self-confidence. Instead of feeling victimized, they feel victorious.

What's in a Number?

Many people don't understand what a big deal the interest rate really is until they see the numbers laid out before them. We'll use the figure of $8000, since that is the national average credit card balance in America. If the minimum payment is 4% of the $8000 balance, your monthly payment is $320. Let's say that you borrowed $8000 from your father, and he charged you no interest at all. Even dads are allowed to charge a little bit of interest, but for this example, your father did not. If you paid him back $320 each month, you would have repaid him in full in 25 months. Two years and one month. No interest. You are now debt-free and have a fantastic father.

Now, let's show what happens when you pay interest to your credit card company. Same balance of $8000 and the minimum monthly payment is $320. Every point you can lower your interest rate will save you money!

Interest Rate	# of Months Until Paid Off in Full	Total Interest Paid
6%	125 months	$1,125
8%	130 months	$1,575
10%	136 months	$2,071
12%	143 months	$2,622
16%	159 months	$3,131
20%	180 months	$5,612

Donna has $8000 in debt and only can make the minimum monthly payment. With a few phone calls, she got her rate down to 8%. At the end of her payments, she will have paid $1,575 in interest fees. Cheryl has no idea that she can call her creditors and reduce her rate. She has a